SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 10

Strategic Talent Acquisition & Employer Branding

This week covers how organisations get the right people. It starts with employer branding (reputation, value proposition, employee experience), which grew out of tight labour markets. Then three-stage HR planning: forecasting labour demand and supply (including transition matrices), setting goals, and running programmes for a surplus or shortage: downsizing, early retirement, temporary workers, outsourcing/off-shoring and affirmative action. Next come the foundations of recruitment and selection: job and competency analysis as inputs, recruitment vs selection, person-job vs person-organisation fit, the ASA model and the competency-based approach. Recruitment covers personnel policies, internal vs external labour markets and the recruiter's role. Selection covers how to design the process, the four standards (reliability, validity, generalisability, utility), the methods (interviews, cognitive, personality, work samples, assessment centres, emotional intelligence, honesty and drug tests) and the Schmidt & Hunter (1998) meta-analysis.

Material

1 Employer branding and the employee value proposition

Employer branding is how an organisation is known **as a place to work**, by both potential and current employees. The slides give four definitions that complement each other:

Source	Definition	Emphasis
SHRM	What the organisation communicates as its identity to potential and current employees	Communicating identity
Oxford Reference	A desire to become an *employer of choice* and compete effectively in the "war for talent"	Competition

Walker (2007)	A set of attributes (often intangible) that make an organisation distinctive, promise a particular employment experience and appeal to people who will thrive in its culture	Promise and culture fit
Adams, HBR (2022)	Three components: **reputation**, **value proposition** and **experience**	Brand structure

Reputation
What people say about the company as a workplace: employee reviews, news, lists such as Glassdoor Best Places to Work.

Value proposition (EVP)
What the company offers in return for employees' effort: pay, career, learning, meaningful work, flexibility, culture.

Experience
What employees actually live day to day. If it doesn't match the EVP promise, the reputation suffers.

Where it came from: employer branding grew out of labour-market pressure. When the market is *tight* (demand for skilled workers exceeds supply), firms need a way to stand out and attract talent **without relying only on higher wages**.

≡ **A simple example**
Two firms offer similar pay for a data analyst. Firm A is known for mentoring, project rotation and good employee reviews. Firm B is known for overtime with no clear career path. The best candidates tend to choose A, and A wins without raising pay. That is the value of an employer brand.

! **Trap**
A brand promoted without a matching real experience only speeds up attrition: people join for the promise and leave because of the reality.

2 HR planning: three stages and the forecasting stage

1 · Forecasting → 2 · Goal setting and strategic planning

→ 3 · Programme implementation and evaluation

The forecasting stage has three steps:

Step	What it involves
Labour demand	Derived from demand for the product/service (*derived demand*): if sales rise, the need for people rises too. It is external, set by the market.
Labour supply	Based on internal movements: transfers, promotions, turnover, retirements. The tool is a **transition matrix**, showing the probability of employees moving between positions in one period.
Surplus or shortage	Compare demand with supply for each position. The result drives the programmes in stages 2 and 3.

How to read a transition matrix (illustrative example). Rows = position this year; columns = position next year; numbers = probabilities:

From ↓ / To →	Manager	Supervisor	Staff	Exit	Current headcount
Manager	0.80	—	—	0.20	20
Supervisor	0.10	0.75	—	0.15	60
Staff	—	0.05	0.80	0.15	200

1. Managers next year = 20 × 0.80 + 60 × 0.10 = 16 + 6 = **22**
2. Supervisors next year = 60 × 0.75 + 200 × 0.05 = 45 + 10 = **55**
3. Staff next year = 200 × 0.80 = **160** (before new hiring)
4. Exits = 20 × 0.20 + 60 × 0.15 + 200 × 0.15 = 4 + 9 + 30 = **43**. Check: 22 + 55 + 160 + 43 = 280 = starting headcount.

If next year's demand is Manager 22, Supervisor 60, Staff 220, then: managers balance, supervisors are **5 short**, staff are **60 short**.

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Supply of position j next year = Σ (headcount in position i now × probability of moving from i to j)
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3 Options for a labour surplus or shortage

Once you know the surplus or shortage, choose a programme. The slides cover five main options:

Option	Key points from the slides
Downsizing	The planned elimination of large numbers of staff to improve competitiveness. Four reasons: (1) cut labour costs, (2) technology reduces the need for labour, (3) mergers/acquisitions reduce bureaucratic overhead, (4) moving the business location.
Early retirement	The average age of the (US) workforce is rising; baby boomers aren't retiring early because of better health, fear of Social Security cuts and the ban on mandatory retirement. Many firms offer early-retirement incentives so older workers leave voluntarily.
Temporary workers	Cover a shortage and give flexibility through swings in demand. Three advantages: (1) free the firm from administrative and financial burdens, (2) often already tested by the agency, (3) many agencies train workers before sending them.
Outsourcing & off-shoring	Outsourcing = using an outside organisation for a broad set of services. Off-shoring = outsourcing where the jobs move to another country. To succeed: choose an established, large vendor; don't outsource proprietary or high-security work; start small and monitor constantly.
Affirmative action planning	Planning for subgroups in the labour force. The tool is a *workforce utilisation review*: compare the share of workers from a group in the company with that group's share of the relevant labour market.

! Effects of downsizing

Studies show firms that announce downsizing tend to perform *worse* financially. Reasons: the long-term effects of badly managed downsizing

can be negative; many people let go turn out to be irreplaceable; and survivors often become narrow-minded, self-absorbed and risk-averse.

Comparing the options (supporting summary from Noe's textbook, not from the slides): the faster an option works, the more human suffering it usually causes.

In a surplus

Fast but painful: downsizing, pay cuts, demotions. Medium: transfers, work sharing. Slow but gentle: hiring freeze, natural attrition, early retirement, retraining.

vs

In a shortage

Fast and easy to reverse: overtime, temporary workers, outsourcing. Slow: retrained transfers, lower turnover, new external hires, technological innovation.

≡ **A workforce utilisation review example**

Women make up 40% of available engineering graduates in the market but only 30% of the company's 200 engineers (60 people). Matching the market share needs 200 × 40% = 80, so the gap is **20 people**. The group is *underutilised* and becomes a target in the recruitment plan.

4 Foundations of recruitment and selection: inputs, fit and the ASA model

The inputs are job and competency analysis (continuing Week 9): job title, grade, duties, location; the competencies needed; the qualifications and experience to reach those competencies.

Recruitment

The process of building a **pool of candidates** by reaching the right audience.

vs

Selection

The process of **choosing** from that pool the most suitable candidate, both *able* and *willing* to fill the vacancy.

	Person–Job (P–J) fit	Person–Organization (P–O) fit

Definition	The match between a person's knowledge, skills and abilities (KSAs) and the job's demands	The match between a person's values, personality and goals and the organisation's culture and values
Question	Can the person do the job?	Will the person thrive here?
Drives	Performance	Retention and engagement
Risk	—	Judgements vary more across recruiters → bias risk. Train recruiters to tell "fit" from "likeability".

The ASA model (Attraction–Selection–Attrition) — Schneider: "*people make the place*"; organisations reflect their founders.

Attraction — people are drawn to organisations with similar values

→ Selection — organisations hire people who fit their culture

→ Attrition — those who don't fit leave or are pushed out

! **The dark side of ASA**

The cycle makes the organisation more and more alike. Homogeneity can reduce creativity, inclusiveness and capacity to change. So measure culture fit, but beware of excessive similarity.

The competency-based approach

Advantages (slides)

Targets candidates better; matches person attributes to job demands; reduces hasty, subjective decisions; gives structure for application forms, interviews, tests and assessment centres.

vs

Disadvantages (added analysis)

Costly and slow to build; can go out of date as jobs change; generic competency dictionaries are hard to measure; can push towards sameness (like ASA).

5 Recruitment: policies, internal vs external sources, and recruiters

The slides' recruitment model: three recruitment influences (**personnel policies**, **recruitment sources**, **recruiter traits and behaviours**) shape the **vacancy characteristics**, which together with applicant characteristics drive the applicant's **job choice**.

Personnel policies · sources · recruiters → Vacancy characteristics → Applicant job choice

Personnel policies are organisational decisions that shape the nature of the vacancy. According to the slides, *vacancy characteristics matter more than recruiters or recruiting sources*. Examples: internal vs external recruiting, extrinsic vs intrinsic rewards, employment-at-will policies and image advertising.

	Internal labour market	External labour market
Methods	Promotion, transfer, rotation, re-hiring former staff	Print and digital media, agencies/headhunters, education liaison, professional networks/referrals, web-based recruitment
Pros	Visible career paths; saves recruitment cost; maximises return on training; promoted staff know the organisation; lower selection risk	More choice; new ideas and perspectives; rewards better aligned to the market; promotion more merit-based; better skill match to the job
Issues	Few fresh ideas; small pool for specialist roles; possible favouritism and office politics; frustration if opportunities seem unfair	Costly and slower; higher risk of poor fit → retention risk; adjustment and learning curve

Recruiters influence applicants in three ways:

Functional area

Traits

Realism

HR or an operating-area specialist. A specialist from the unit is more credible about the work.	Warm and informative.	A *realistic job preview* (RJP): honest about the good and bad sides of the job. Cuts applicants with wrong expectations and early turnover.

How to raise recruiter impact
(1) Give timely feedback, (2) avoid rude behaviour, (3) recruit in teams (HR plus the hiring unit).

The slides' summary
HR planning uses demand and supply forecasts to anticipate shortages and surpluses, for organisational success and to *reduce human suffering*. Recruitment creates an applicant pool when a shortage occurs.

6 Designing selection: four questions and four standards

The aim of selection design is to collect **valid, fair, job-related evidence** to decide who fits best.

1. **What does the job entail?** Start from job analysis.
2. **What evidence shows a candidate fits?** Past achievement; demonstrated skills or behaviour; attitudes and values.
3. **Which method generates valid evidence?** Cognitive ability tests → problem-solving; work samples → technical competence; structured interviews → competencies and culture fit; assessment centres → many skills through simulations.
4. **Is the method fair and reliable?**

Standard	Meaning	How it's tested

Reliability	How free a measure is from random error	Correlation coefficient (−1 to +1). *Test-retest*: the same person's scores at two times should correlate highly.
Validity	How far a measure assesses all the relevant aspects of performance, and only those	*Criterion-related validation*: correlate test scores with job-performance scores. **Predictive** = test applicants, measure performance later. **Concurrent** = test current employees, measure performance at the same time.
Generalisability	How far validity in one context extends to others	Three contexts: different situations (jobs/organisations), different samples of people, different time periods
Utility	How far information from a method makes selection more effective	Driven by reliability, validity and generalisability (plus the method's cost and the number of applicants)

The logical order

An unreliable method cannot be valid (its results are random). A valid method that doesn't generalise is useful in one place only. Utility is the final test: are the benefits worth the cost?

Reading a correlation

r = +1 is a perfect positive relationship; r = 0 is no relationship; r = −1 is a perfect negative relationship. A good selection test usually has a validity of about 0.4–0.6, not close to 1, because job performance depends on many other things too.

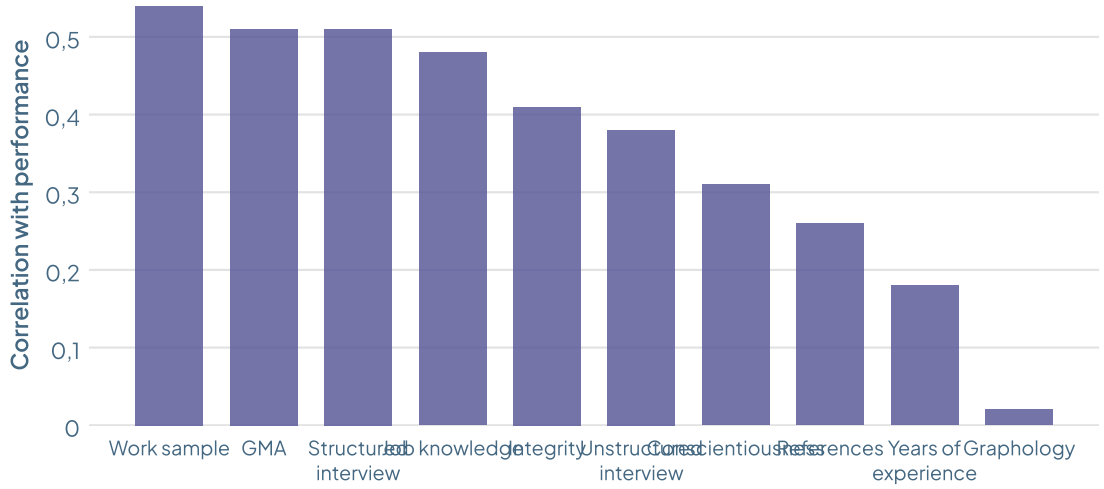
7 Selection methods and the Schmidt & Hunter meta-analysis

Method	From the slides
Interviews	A dialogue to gather information and evaluate an applicant's qualifications. To raise utility: *structured and standardised*, focused on skills and observable behaviour; interviewers rate quantitatively; a structured note-taking system.

Background	References, biographical data and applications. Manage your digital identity the way you manage your résumé.
Physical ability	Relevant for predicting performance, occupational injuries and disabilities. Measures muscular tension, power and endurance, cardiovascular endurance, flexibility, balance, coordination.
Cognitive ability	Differentiates people by mental capacity: verbal comprehension, quantitative ability, reasoning.
Personality inventories	Categorise people by personality traits (e.g. the Big Five; conscientiousness predicts performance most consistently).
Work samples & assessment centres	Work sample = a miniature simulation of the job before hiring. Assessment centre = multiple raters evaluate performance on several exercises.
Emotional intelligence	Five components: self-awareness, self-regulation, self-motivation, empathy, social skills.
Honesty tests	The 1988 Polygraph Act (US) banned polygraphs at private firms except pharmaceutical and security-guard suppliers. Paper-and-pencil honesty tests assess the likelihood of theft; evidence on effectiveness is still thin.
Drug tests	Tend to be reliable and valid. Controversies: privacy, unreasonable search, due process. Apply them systematically to all applicants for the same job; more defensible where safety hazards exist; report results to the applicant with a route to appeal.

Schmidt & Hunter (1998): a meta-analysis of 85 years of research on 19 selection methods. The figures below are validities (correlation with job performance) from the original article:

Validity of selection methods (Schmidt & Hunter, 1998)



The taller the bar, the better the method predicts job performance. Years of experience and graphology are the weakest.

Method	Validity	Note
Work sample test	0.54	Highest, but only for people who already have the skills
GMA (general mental ability)	0.51	Best foundation: cheap, works for almost every job
Structured interview	0.51	Far better than an unstructured interview (0.38)
Job knowledge test	0.48	
Integrity test	0.41	Adds the most validity when combined with GMA
Conscientiousness	0.31	
Reference checks	0.26	
Years of job experience	0.18	Weak, though widely used
Graphology (handwriting)	0.02	Predicts practically nothing

Practical lesson

The best combinations in this study: GMA + integrity test (combined validity about 0.65) or GMA + structured interview (about 0.63). Popular methods such as years of experience and free-form interviews are actually weak.

The slides' summary

Accept/reject decisions strongly affect applicants and the organisation's viability. Many methods have been validated by years of research, so choose by evidence, not habit.

Key takeaways

1. Employer branding = the organisation's identity as a workplace. Three components (Adams, HBR 2022): reputation, value proposition, experience.

2. Employer branding grew out of tight labour markets: a way to attract talent without only raising pay.

3. HR planning in three stages: forecasting → goal setting and strategic planning → programme implementation and evaluation.

4. Labour demand is derived from product demand; supply is read from internal movements using a transition matrix.

5. Downsizing often worsens financial performance: irreplaceable assets are lost and survivors become risk-averse.

6. Other options: early retirement, temporary workers, outsourcing/off-shoring (established vendor, no proprietary work, start small), affirmative action (workforce utilisation review).

7. Recruitment = building a candidate pool; selection = choosing those both able and willing.

8. P–J fit (KSAs vs job demands) drives performance; P–O fit (values vs culture) drives retention but is more prone to bias.

9. The ASA model: attraction → selection → attrition makes organisations alike; beware of homogeneity.

10. Vacancy characteristics matter more than recruiters or sources. Internal = cheaper and safer; external = new ideas but costly and riskier fit.

11. Four selection standards: reliability, validity (predictive/concurrent), generalisability, utility.

12. Schmidt & Hunter (1998): work sample 0.54, GMA 0.51, structured interview 0.51; experience 0.18 and graphology 0.02 are weak.

Case studies

Case & worked answers

Practice: designing selection for an SOE management trainee programme

An illustrative practice example, not from the slides. An SOE opens 40 management trainee (MT) places. Goal: fresh graduates who can rotate across units and be ready to manage within 5 years. Last year 30% of MTs left within their first two years.

1. **Job and competency analysis:** fast learning, analysis, communication, integrity, willingness to be posted to the regions.
2. **Employer branding:** an honest EVP: a clear career path and cross-unit rotation, but also regional postings. Use a *realistic job preview* (a video of an MT's day at a remote site) to cut early turnover.
3. **Recruitment funnel:** 40 hires ÷ 0.8 (offer acceptance) = 50 offers; ÷ 0.5 (pass the assessment centre) = 100 AC participants; ÷ 0.2 (pass the online test) = 500 test passers; ÷ 0.4 (pass CV screening) = at least 1,250 applicants.
4. **Selection methods (evidence-based):** online GMA test → integrity test → competency-based structured interview → assessment centre (case study, group discussion). Years of experience isn't used: it's weak (0.18) and applicants are fresh graduates.
5. **P–J and P–O fit:** GMA and the case study test P–J fit (performance); the values interview and RJP test P–O fit (retention). Train interviewers to tell "fit" from "likeability", and keep a spread of universities to avoid the dark side of ASA.
6. **Evaluation:** predictive validation — correlate selection scores with MT performance ratings after 12 months. Also track two-year turnover (target: below 30%).

Worked examples

Problem 1 · Easy · **Transition matrix**

There are 20 managers, 60 supervisors and 200 staff. Yearly probabilities: manager stays 0.80, exits 0.20; supervisor promoted to manager 0.10, stays 0.75, exits 0.15; staff promoted to supervisor 0.05, stays 0.80, exits 0.15. Next year's demand: manager 22, supervisor 60, staff 220. Find the supply and surplus/shortage for each position.

1. Managers = $20 \times 0.80 + 60 \times 0.10 = 16 + 6 = 22$
2. Supervisors = $60 \times 0.75 + 200 \times 0.05 = 45 + 10 = 55$
3. Staff = $200 \times 0.80 = 160$
4. Exits = $4 + 9 + 30 = 43$; check $22 + 55 + 160 + 43 = 280$
5. Compare with demand: $22 - 22 = 0$; $55 - 60 = -5$; $160 - 220 = -60$

Answer: Managers balance; supervisors 5 short; staff 60 short. The big staff gap → external hiring; supervisors → internal promotion/training.

Problem 2 Medium **Recruitment funnel (yield ratios)**

A supporting concept, not from the slides. A firm needs 10 new hires. Historical ratios: 25% of applicants pass CV screening, 40% of those are invited to interview, 50% of interviewees get an offer, 80% of offers are accepted. How many applicants are needed at minimum?

1. Work backwards: offers = 10 ÷ 0.80 = 12.5
2. Interviewed = 12.5 ÷ 0.50 = 25
3. Passed screening = 25 ÷ 0.40 = 62.5
4. Applicants = 62.5 ÷ 0.25 = 250

Answer: At least 250 applicants (≈ 13 offers, 25 interviews, 63 passing screening).

Problem 3 Easy **Workforce utilisation review**

A firm has 200 engineers, 60 of them women. In the relevant labour market, women make up 40% of engineering graduates. Is the group underutilised, and how big is the gap?

1. Company share = 60 ÷ 200 = 30%
2. Market share = 40% → 30% < 40%, so underutilised
3. Number matching the market = 200 × 40% = 80
4. Gap = 80 − 60 = 20

Answer: Yes, underutilised; a gap of 20 women engineers. It becomes a recruitment-plan target.

Practice questions

Try answering first. The answer key is below each question.

1. The three components of an employer brand according to Adams (HBR, 2022) are…

A. Salary, bonus, benefits
B. Reputation, value proposition, experience
C. Logo, slogan, advertising
D. Recruitment, selection, onboarding

Answer: B. Reputation (what people say), EVP (what's offered), experience (what's actually lived).

2. Employer branding became important mainly because of…

A. A loose labour market
B. A tight labour market: demand for skilled workers exceeds supply
C. New tax rules
D. Falling advertising costs

Answer: B. Firms needed to stand out to attract talent without relying only on higher pay.

3. The three stages of HR planning are…

A. Recruit → select → train
B. Forecasting → goal setting & strategic planning → programme implementation & evaluation
C. Downsize → outsource → recruit
D. Job analysis → pay → appraisal

Answer: B. Forecast demand and supply first, set goals, then run and evaluate programmes.

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4. Labour demand is called "derived demand" because…

A. HR sets it
B. It is derived from demand for the product/service
C. It is derived from graduate numbers
D. Unions set it

Answer: B. If sales rise, the need for people rises too.

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5. Transition matrix: 60 supervisors (stay 0.75), 200 staff (promoted to supervisor 0.05). Supervisor supply next year…

A. 45
B. 55
C. 60
D. 65

Answer: B. $60 \times 0.75 + 200 \times 0.05 = 45 + 10 = 55$.

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6. According to the slides, firms that announce downsizing tend to…

A. Perform better financially
B. Perform worse financially
C. Stay the same
D. See an immediate share-price rise

Answer: B. Irreplaceable people leave, and survivors become narrow-minded and risk-averse.

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7. These are reasons for downsizing in the slides, EXCEPT…

A. Cut labour costs
B. Technology reduces labour needs
C. Boost the employer brand
D. Mergers reduce bureaucracy

Answer: C. The four reasons: cost, technology, mergers/acquisitions, moving business location.

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8. Jobs moved to another country through an outside vendor is called…

A. Downsizing
B. Off-shoring
C. Rotation
D. Affirmative action

Answer: B. Off-shoring is a special case of outsourcing where jobs leave one country for another.

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9. The slides' advice for successful outsourcing includes all EXCEPT…

A. Choose an established, large vendor
B. Don't outsource proprietary work
C. Start small and monitor constantly
D. Outsource everything at once to save money

Answer: D. The slides advise starting small.

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10. A workforce utilisation review compares…

A. Internal pay with the market
B. A subgroup's share in the company with its share of the labour market
C. Hours with output
D. Applicants with hires

Answer: B. If the company share is below the market share, the group is underutilised.

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11. "Will this person thrive here?" is the question of…

A. Person–Job fit
B. Person–Organization fit
C. Reliability
D. Utility

Answer: B. P–O fit = values and personality vs culture; drives retention. P–J fit = can they do the job.

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12. The main risk of judging P–O fit, per the slides, is…

A. Too expensive
B. Inconsistent across recruiters, so prone to bias
C. Unrelated to retention
D. Illegal

Answer: B. Train recruiters to tell "fit" from "likeability".

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13. The dark side of the ASA model is…

A. Turnover that is too low
B. Homogeneity that reduces creativity and capacity to change
C. High recruitment cost
D. Too few candidates

Answer: B. Attraction, selection and attrition all push towards similarity.

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14. According to the slides, what most affects an applicant's job choice is…

A. The recruiter
B. The recruiting source
C. Vacancy characteristics
D. Logo colour

Answer: C. Vacancy characteristics matter more than recruiters or sources.

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15. An advantage of the internal labour market is…

A. New ideas and perspectives
B. Lower selection risk because the person is known
C. A bigger specialist talent pool
D. No office politics

Answer: B. New ideas are an external advantage; internal is prone to favouritism.

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16. A realistic job preview (RJP) means…

A. Highlighting only the good side
B. Honestly showing both good and bad sides of the job
C. Unpaid trial work
D. A corporate promo video

Answer: B. RJP is part of recruiter "realism" and cuts early turnover.

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17. How free a measure is from random error is called…

A. Validity
B. Reliability
C. Utility
D. Generalisability

Answer: B. Tested, for example, with test-retest.

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18. Applicants take a test, and their performance is measured after they start. This is…

A. Concurrent validation
B. Predictive validation
C. Test-retest
D. Content validation

Answer: B. Concurrent = test and performance measured on current employees at the same time.

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19. The lowest-validity method in Schmidt & Hunter (1998) among these is…

A. GMA
B. Structured interview
C. Graphology
D. Work sample

Answer: C. Graphology is about 0.02, practically no prediction.

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20. To give interviews high utility, the slides advise…

A. Free-form with no question list
B. Structured, standardised, rated quantitatively, with structured notes
C. Only one question
D. Focus on the applicant's hobbies

Answer: B. Structured about 0.51 vs unstructured about 0.38.

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21. The five components of emotional intelligence in the slides are…

A. IQ, EQ, SQ, AQ, CQ
B. Self-awareness, self-regulation, self-motivation, empathy, social skills
C. Verbal, numeric, logic, spatial, memory
D. Openness, conscientiousness, extraversion, agreeableness, neuroticism

Answer: B. The last option is the Big Five (personality), not EI.

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22. Drug tests are more defensible when…

A. Given only to selected applicants
B. There are safety hazards if the worker fails to perform
C. Results are hidden from the applicant
D. Given randomly with no rules

Answer: B. Also systematic for all applicants to the same job, results shared, and a route to appeal.

Sources

- P3MD Week 10 MK1 — Strategic Talent Acquisition & Employer Branding (Student Version)

- Schmidt, F. & Hunter, J. (1998), Psychological Bulletin 124(2) — validity figures; Noe et al., Human Resource Management — surplus/shortage options (supporting)